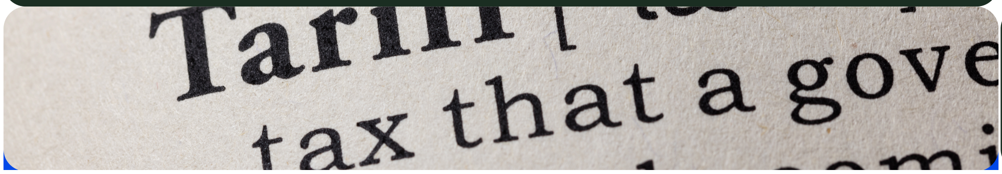
Executive Summary and Implications

Financial Impact of Tariffs



On Small Business Operations

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Summary

Statement of the Problem and Hypothesis

The focus of this analysis was to evaluate the impact of proposed tariff increases on the Cost of Goods Sold (COGS) for small businesses and answer the following question:

How will the proposed tariffs impact the cost of goods sold (COGS) for a small company importing from China and Mexico?

The hypothesis tested was as follows:

- **Hypothesis**
  - **Null Hypothesis**: Tariffs on goods imported from China and Mexico do not significantly impact the company's COGS.
  - **Alternate Hypothesis**: Tariffs on goods imported from China and Mexico significantly impact the company's COGS.

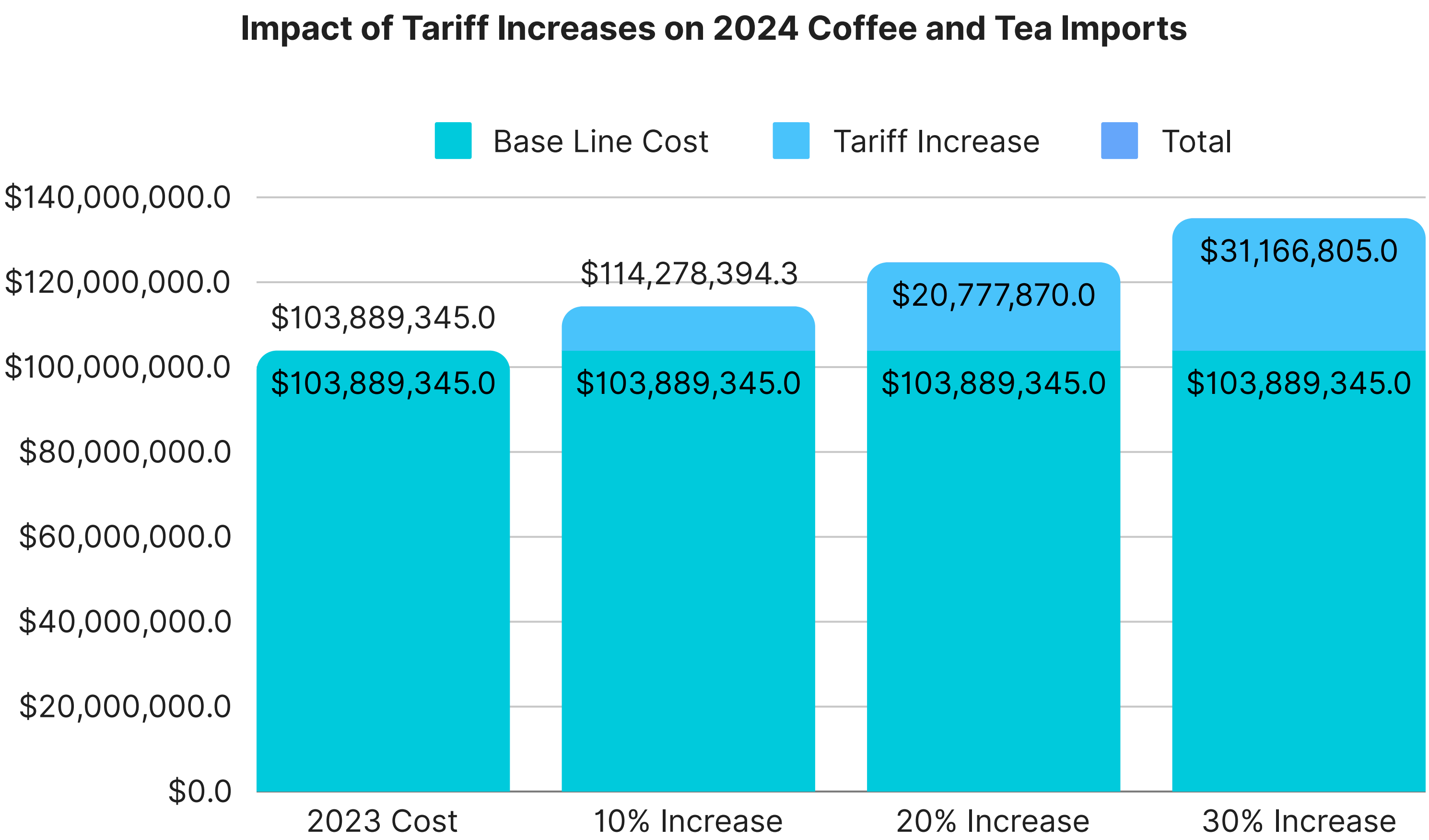
Summary of the Data-Analysis Process

- **Data sources:**
  - **Annual Tariff Data (2023)** from the Harmonized Tariff Schedule (HTS)
  - **Supplementary Tariff Data** (China's additional 7.5% or 25% increases)
- **Analysis Approach**
  - Scenario-based modeling
  - Columns were created to simulate tariff increases of 10%, 20%, and 30% for both ad valorem and specific rates
  - Rates were aggregated into sections based on product chapter codes
  - Data cleaning and manipulation were performed in R

Findings

Sections such as Foodstuffs, Vehicles, and Instruments (like medical and optical equipment) showed the most significant increases in tariff rates under all scenarios

Real-World Example:



These increases highlight a direct and measurable impact on COGS, which can challenge small businesses operating on tight margins. Data source (Administration, 2024)

Example of Sections

Section	Baseline Tariff Rate	10% Increase	20% Increase	30% Increase
Section IV: Foodstuffs, Beverages & Tobacco	25.11	27.62	30.13	32.64
Section VI: Chemical & Allied Product	0.0414	0.0455	0.0497	0.0538
Section XIX: Arms and Ammunition	977.29	1075.02	1172.74	1270.47

Limitations of Techniques and Tools

For this analysis, I used R for data manipulation and visualizations

- Advantages:
  - Robust data cleaning
  - Analysis
  - Visualizations
- Disadvantage:
  - Relies on publicly available data without business-specific costs
  - Hypothetical COGS model
  - Assumes a linear relationship between the tariff increases and costs

Proposed Actions

To address the impact of rising tariffs, businesses should:

1. Explore alternative suppliers, particularly from non-affected regions.
2. Evaluate strategies for absorbing costs versus passing them to consumers.
3. Prioritize high-margin products to offset increased costs.

Expected Benefits of the Study

This analysis provides a quantitative assessment of the potential impact of proposed tariffs on the cost of goods sold (COGS), equipping small businesses with valuable insights to adapt and prepare for potential policy changes. Key benefits include:

- Identifying high-risk product categories.
- Simulating actionable strategies under different tariff scenarios.
- Supporting data-driven decisions to maintain profitability.

Resources

Administration, I. T. (2024, December). *Office of Consumer Goods Import Data Tools*. Retrieved from International Trade Administration: https://www.trade.gov/data-visualization/office-consumer-goods-import-data-tools

Annual Tariff Data, 2023, [Dataset]. (2024). Retrieved from DataWeb: https://dataweb.usitc.gov/tariff/annual

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